



2. Setting the Direction:

The SMA acts as a directional filter. When the price is above the 50-period SMA, we look for buy trades, and when it's below, we focus on sell trades. This approach provides a clear bias based on the moving average's position.

3. Identifying Entry Points:

To buy, do the following things:

- Add 50-period SMA on the chart.
- Wait for the price to move above the 50-period SMA.
- Buy when the previous fractal high is broken with a green candle for the entry.

4. Implementing Stoploss:

A crucial element of risk management is setting stoplosses. Depending on your risk tolerance, you can place the stoploss either at the fractal level or, if the fractal is too distant, at the nearest significant swing high or low. Maintaining a risk-reward ratio of at least 1:2 or 1:3 is advisable.

